

Malaysian Palm Oil Market Insights

Production peaks in Sep–Oct, rainfall leads output by ~10 months, and higher stocks weigh on prices.

Year

All

Latest price (USD/t)

1,117

Change vs last month

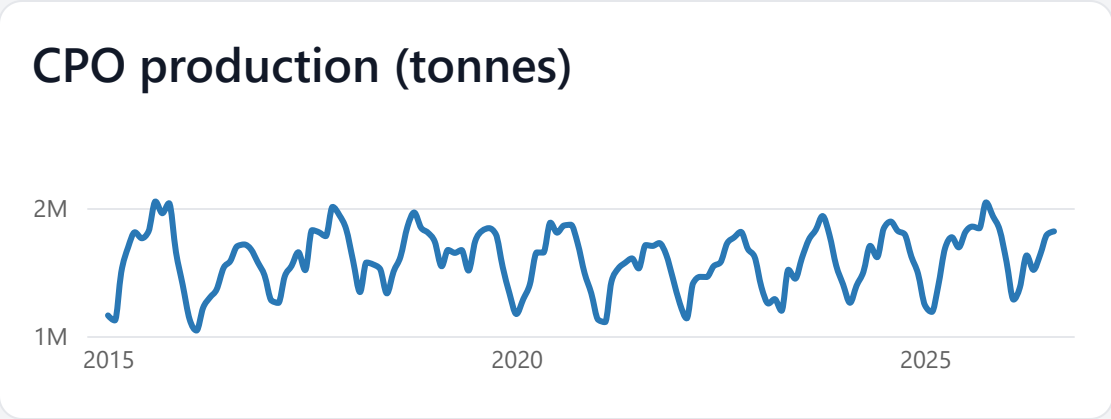
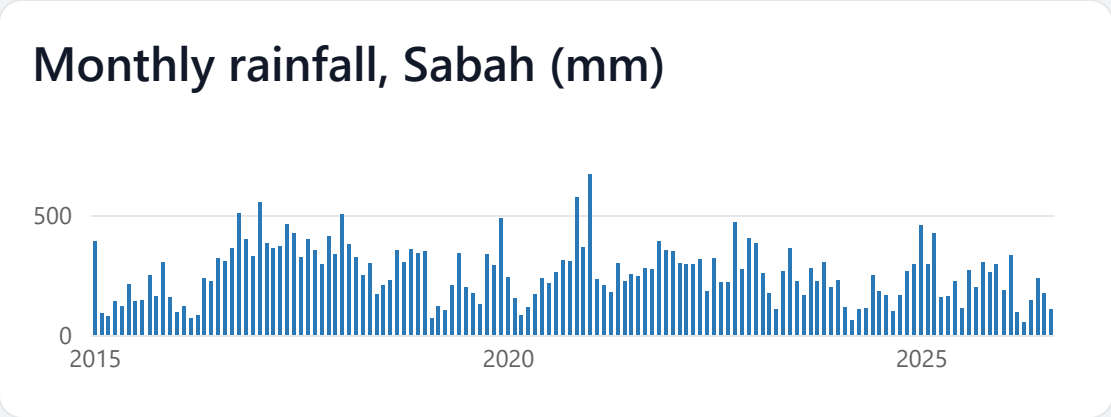
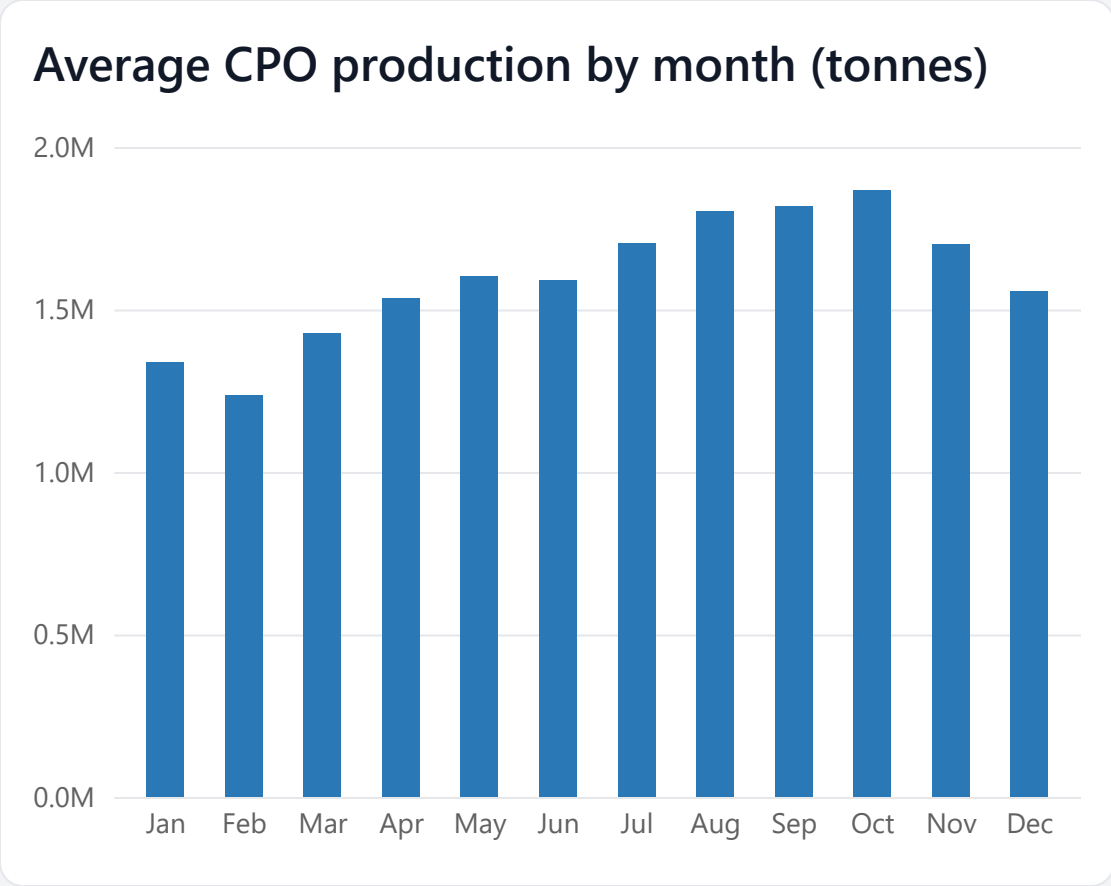
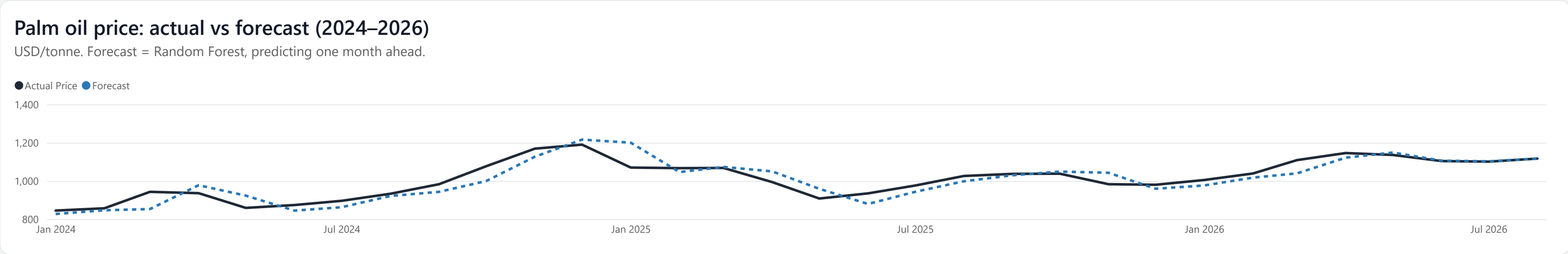
1.5%

Palm oil stocks (million t)

2.82

Forecast error (USD/t)

35.1



Key insights

- Production is lowest in February and peaks in Sep–Oct (~51% difference).
- Rainfall links most strongly to production ~10 months later ($r = 0.52$).
- Higher stocks are associated with lower prices the next month ($r = -0.42$).
- The forecast beats a naive baseline by ~9.5% (MAE USD 35.1 vs 38.8).

AI-assisted insights

Built-in forecasts use price history only and drift over long horizons, while supply data (stocks) shows a clear negative link to price.

Backtest: Power BI forecast vs actual (2024–2026)

Blue = actual price. Grey line = Power BI forecast made from 2015–2023 data. Shaded = 95% range. Prices in USD/tonne.



Power BI forecast: next 6 months

Grey line = Power BI forecast (price history only). Shaded = 95% range. Prices in USD/tonne.



Higher stocks, lower prices (2015–2026)

Each dot is one month. The dashed line shows the overall trend

